Statement of financial position

as at 30 June	**2022**	**2021**
	$000	*$000*
Property, plant and equipment	1,864	2,078
Current assets	60	49
	1,924	2,127
Share capital	1,000	1,000
Retained earnings	269	480
Total equity	1,269	1,480
Non-current liability	600	600
Current liabilities	55	47
	1,924	2,127

R is an unquoted company.

The non-current liability is a loan that falls due in seven years. However, there is a restrictive covenant on the loan entitling the lender to seek immediate repayment if the gearing ratio, calculated as debt/(debt + equity), ever exceeds 30%. R's board is concerned because this ratio has increased from 29% last year to 32%, which breaches the covenant.

R's property, plant and equipment include a large office building in the business district of a major city. The building was purchased 12 years ago for $1,100,000 and has never been revalued. The building has been depreciated at 2% of cost each year since its acquisition. The board is considering revaluing the office in order to reduce the gearing ratio.

(i) Calculate the value that would have to be attached to the office building to reduce R's gearing to 30% as at 30 June 2022. [4]

(ii) Explain whether it would be acceptable to revalue the office building in order to reduce the gearing ratio to less than 30%. [5]

(iii) Explain how R's board should manage the breached debt covenant, assuming that the office building is not revalued. [6]

(iv) Explain the implications for R's shareholders of continuing reported losses. [5]

[Total 20]